

Debt Repayment Calculator

Canada · CAD

Personal Financial Scenario Report

fincalcsmart.com/debt-repayment-calculator

EXECUTIVE SUMMARY

Moderate Interest Burden

CA\$18,000

Balance

CA\$500.00

Monthly Payment

56 mo (4 yr 8 mo)

Months to Payoff

CA\$10,000

Total Interest

February 2031

Debt Free Date

TOTAL PAYMENT BREAKDOWN

64%

36%

Total projected: CA\$28,000

Principal: CA\$18,000 (64.3%) Total Interest: CA\$10,000 (35.7%)

AI-ASSISTED DEBT PAYOFF SUMMARY

With a CA\$18,000 balance at 19.99% annual interest, your CA\$500.00/month payment pays off the debt in 4 yr 8 mo (by February 2031). Total paid: CA\$28,000. Total interest: CA\$10,000 (35.7% of total cost). Monthly interest charge in month 1: CA\$299.85.

Acceleration opportunity: Adding just CA\$100.00/month to your payment would save CA\$2,800 in interest and eliminate the debt 1 yr 2 mo earlier (by December 2029). In month 1, CA\$200.15 of each payment reduces the principal and CA\$299.85 covers interest. As the balance falls, more of each payment goes to principal.

Interest rate (19.99%) is the key cost driver. Every point of rate reduction meaningfully lowers total interest. If you have multiple debts, prioritize higher-rate balances first (avalanche method) to minimize total interest. This calculator models a single debt with monthly compounding -- consolidation or balance transfer scenarios require separate modeling.

INPUTS & ASSUMPTIONS

Current Balance	CA\$18,000
Annual Interest Rate	19.99%
Monthly Payment	CA\$500.00
Region	Canada

DETAILED RESULTS

Months to Payoff	56 months
Debt-Free Date	February 2031
Total Paid	CA\$28,000
Total Interest	CA\$10,000
Month-1 Interest	CA\$299.85
Month-1 Principal	CA\$200.15
+\$100/mo Saves (Interest)	CA\$2,800
+\$100/mo Saves (Time)	1 yr 2 mo
+\$100/mo Debt Free	December 2029

KEY DRIVERS / POSSIBLE ADJUSTMENTS

- Interest rate of 19.99% produces CA\$300/month in interest on the opening balance. Reducing the rate by even 2 percentage points would meaningfully decrease total interest cost.
- Extra payments have outsized impact early in the payoff period when the principal is highest. Adding CA\$100.00/month saves CA\$2,800 and accelerates payoff by 1 yr 2 mo.
- Total interest of CA\$10,000 represents 35.7% of total repayment cost. This is a high interest burden -- acceleration or refinancing could substantially reduce the cost of this debt.

METHODOLOGY

What this calculator models:

- Simulates month-by-month debt repayment with monthly compounding: $\text{interest} = (\text{annualRate} / 12) \times \text{balance}$. Each payment first covers accrued interest; the remainder reduces principal. Simulation continues until balance reaches \$0.
- Annual fees (if entered) are distributed as a monthly charge added to each payment obligation.
- Acceleration scenarios computed by adding \$100/month (fixed comparison) or the user-entered extra payment to the base monthly payment and re-running the simulation.

What this calculator does not model:

- Multiple debts or consolidated payoff strategies (avalanche or snowball).
- Balance transfers, promotional 0% rates, or refinancing to a lower rate.
- Minimum payment requirements that may increase as the balance falls.
- Late payment penalties, NSF fees, or credit score impact.
- Tax deductibility of interest (e.g., home equity debt in some jurisdictions).

EDUCATIONAL DISCLAIMER

This report is for educational and illustrative purposes only. The payoff simulation uses monthly compounding and does not account for variable interest rates, minimum payment changes, or lender-specific terms. Actual payoff timeline depends on your lender agreement. This does not constitute financial or debt counselling advice. If you are experiencing financial hardship, consult a non-profit credit counsellor.